

Message from the Secretary



2025 will go down as a banner year for education. As we reflect on the first year of President Donald J. Trump's second term in the White House, we remain steadfast in our mission to ensure every student has the means, tools, and opportunities to excel in a rapidly changing world, while remaining committed to instructional excellence in every classroom across America.

This past year, the Department has demonstrated steadfast stewardship of federal resources, advanced our strategic goals through programs spanning from K-12 education to civil rights

enforcement to historic reforms at postsecondary education institutions—all of which will strengthen America's education system. Our Agency Financial Report for fiscal year 2025 (FY 2025) reflects not only our dedication to sound financial management, but also our resolve to meet the evolving needs of students, families, and educators across the country.

When President Trump nominated me to be Secretary of Education, he entrusted me to deliver on one of his most momentous campaign promises: returning education to the states. The Department was established in 1980 with the promise of improving education outcomes for America's students, but \$3 trillion in taxpayer dollars later, national test scores in reading and math have plummeted. In 2024, only 35% of fourth and eighth graders in our nation were proficient in reading, and only 39% of fourth graders and 28% of eighth graders were proficient in mathematics. The President and I share the firm, fundamental belief: that **the best education is closest to the child** and informed by the ones who know students best. We must empower local communities, state leaders, and parents—who understand their students' unique needs far better than Washington bureaucrats—to reclaim control of education and usher in a new era of excellence. In FY 2025, we took several significant steps towards improving education across the nation and implementing this agency's final mission:

After the Department's historic reduction in force in March, I launched the "**Returning Education to the States Tour**," with the goal of traveling to all 50 states to hear directly from teachers, parents, and community leaders about what is working best in their communities. I have and will continue to visit as many schools as possible across the country—public, private, charter, parochial—and will compile a toolkit of best practices that I will distribute to states when the tour is completed.

Next, my supplemental priorities released in 2025 reinforced this Administration's commitment to empowering local voices over federal mandates and promoting excellence in education. My *expanding education choice* priority will increase access to education

options across all relevant discretionary grant competitions. My *returning education to the states priority* will enable the Department to meet the needs of America's students without cumbersome federal burdens. My *evidence-based literacy priority* will provide the resources necessary to implement proven, data-driven literacy instruction to improve literacy skills across the nation, addressing the decades of dismal NAEP scores. My *supplemental priority on artificial intelligence (AI)* will be used to support the use of AI for both students and educators to improve learning outcomes for all. These priorities reinforce this Administration's desire to correct a pervasive, known problem in education: federal management has not yielded better outcomes. We have, and intend to continue, to chart a different course, prioritizing the needs of students, families, taxpayers, and the workforce.

Under my leadership, the Department has made historic investments in school choice, including a record-breaking \$500 million for the Charter Schools Program (CSP)—the largest in its history. At the same time, we reduced federal overreach in state CSP grant awards by eliminating a Biden-era requirement that the Secretary review how states authorize charter schools where lawful authorizers already exist. These changes expand options for families and empower parents to choose high-quality education that best meets their children's needs—regardless of income or zip code.

We have cut red tape to empower local education leaders. The Department issued 'Dear Colleague' letters to State Chiefs, reminding them of the existing flexibilities in federal law, giving them greater control over their education systems. We promoted statutory flexibilities under the Elementary and Secondary Education Act (ESEA) and the Education Flexibility Partnership Act of 1999 (Ed-Flex Act), allowing states to waive certain federal requirements without prior approval—empowering districts to focus on learning outcomes and local needs. This approach is already delivering results: in January 2026, Iowa became the first state approved for a Returning Education to the States waiver, redirecting nearly \$8 million from compliance to classrooms over four years.

As we worked toward returning education to the states, we also advanced initiatives to restore **responsible administration and accountability to our postsecondary education funding systems**.

Federal Student Aid (FSA) delivered over **\$131.1 billion** in Title IV aid to **10.5 million postsecondary students** and their families. During FY 2025, FSA operated on an annual administrative budget of **\$2.1 billion**. The Department has also been hard at work implementing historic reforms included in the Working Families Tax Cuts Act. These reforms are focused on simplifying student loan repayment, expanding short-term workforce education, and holding colleges accountable for poor student outcomes, ensuring that federal aid is directed to programs that are committed to outcomes, not inputs—truly educating students, rather than shackling them to debt.

FSA also delivered the new and improved *Free Application for Federal Student Aid*® (FAFSA®) form ahead of schedule for the first time in the form's existence, doing so within a more streamlined agency than in previous years. A record **19.2 million FAFSA forms** were processed in FY 2025, giving American students from all corners of the nation access

to higher education. The form was also launched with new features that will increase fiscal transparency and allow aspiring postsecondary students and families to see their future earnings potential before they choose their college or university.

In FY 2025, the Department delivered nearly **\$40 billion** in Pell Grants to over **7 million students**, reaffirming our commitment to affordable higher education to empower all students to achieve their educational goals. Building on this foundation, we have begun implementing the historic reforms included in the Working Families Tax Cuts Act, such as the creation of the short-term Workforce Pell Grant program, to make federal student aid available for short-term, high-quality programs that are closely aligned to workforce demand.

Since Day One, the Trump Administration has made **restoring merit, civil rights protections, and equal treatment under the law in higher education** a top priority, ensuring that taxpayer dollars do not support discrimination against students. For too long, universities have engaged in race- and sex-based discrimination with little to no federal enforcement. In FY 2025, the Department actively pursued Title IX and Title VI investigations into universities and K-12 institutions accused of such practices and took enforcement action against entities violating the law. We also secured historic agreements with universities that recommit them to merit-based admissions and hiring, to dismantling unlawful Diversity, Equity, and Inclusion (DEI) programs, and to ensuring that all students have access to equal educational opportunity.

After the previous Administration's warped Title IX enforcement, which allowed men in women's sports and intimate facilities, the Trump Administration returned to enforcing the 2020 Title IX rule on the basis of biological sex and re-established sex-segregated sports and intimate facilities. The Department secured Resolution Agreements with the University of Pennsylvania and Wagner College, who agreed to remove titles that were misappropriated by male athletes, and restore them to female athletes. Under the Resolution Agreements, both universities also apologized to women for allowing sex discrimination. In addition, after universities flagrantly disregarded the prohibition on racial discrimination in *SFFA v. Harvard* (2023), Title VI of the Civil Rights Act, and the Equal Protection Clause of the U.S. Constitution, the Department secured agreements with Columbia University and Brown University to cease illegal diversity, equity, and inclusion (DEI) programming, restore merit to admissions, and protect Jewish students amid an explosion of anti-Semitic harassment on campus. These agreements have both rectified past harm and instituted lasting change that ensures future students do not suffer the same discrimination.

We have also **renewed enforcement of Section 117** of the Higher Education Act, ensuring institutions receiving federal funds disclose foreign gifts and contracts of \$250,000 or more annually. For years, compliance was poor—only about 60% of institutions appear to be meeting their obligations—and the previous administration opened no new investigations and diminished the searchability functions of university disclosures for public inspection. In contrast, the Trump Administration launched four major inquiries into Harvard, the University of Pennsylvania, the University of Michigan, and the University of California, Berkeley, in response to clear disclosure failures by those institutions. In response to Executive Order 14282 (April 23, 2025), we began vigorous interagency information sharing. Foreign funding in higher education is a matter of national security, and as Secretary, I have—and will continue to—take all necessary steps to ensure transparency about these financial relationships.

Robust law enforcement permeates every sector under the Department's purview. In K-12, this Administration **restored parents' rights** under federal law, including the Family Educational Rights and Privacy Act (FERPA), to know about the most sensitive information pertaining to their child's health and wellbeing. The Department initiated investigations into the Maine, California, Kansas, Washington, Massachusetts, and Virginia departments of education and school districts amid allegations these entities, among another reports, hide a child's 'gender transition' from that child's parents. We continued our commitment to the Individuals with Disabilities Education Act (IDEA) by vigorously upholding civil rights for students with disabilities, securing resolution agreements with entities from to resolve digital accessibility complaints and ensure Section 504 and Individualized Education Plans (IEP) are implemented. And we canceled or non-continued millions of dollars in harmful, wasteful, and downright absurd DEI grants which illegally discriminate on the basis of race, including support for a Technical Assistance center focused on Early Childhood education to "address the systemic racism that permeates all aspects of society."

The Department also entered into a historic and successful partnership with the Department of Labor (Labor, DOL) to integrate the federal government's workforce development portfolio. The Departments transitioned the Workforce Innovation and Opportunity Act (WIOA) state plan portal to DOL to streamline federal workforce development programs, thereby allowing the Department and DOL to jointly administer core WIOA programs, including adult education and family literacy programs. Our most recent efforts have focused on integrating the Perkins state plan portal into the WIOA state plan portal so states with combined WIOA state plans can submit information through a single portal—cutting red tape and streamlining the application processes for states and grantees. The partnership's success speaks for itself. Since October 1, the joint agencies have successfully processed over 1,300 payment requests from 43 unique states and territories and onboarded all grantees to DOL's GrantSolutions and Payment Management System, which is the payment management and grant system used by the majority of all federal agencies. Grantees have efficiently drawn down their funds, with 42 of 53 Perkins grantees and 43 of 57 adult education grantees fully utilizing their allocations. This partnership, alongside my *career pathways and workforce readiness supplemental priority* supporting projects that will help Americans attain industry recognized credentials, will open opportunities for students and bolster workforce needs. As America approaches its Semiquincentennial—the 250th anniversary of our founding—the Department has launched initiatives to elevate civic and patriotic education nationwide. We partnered with over 50 national and state organizations to form the **America 250 Civics Education Coalition**, inspiring citizens to reflect on our history and shared values. Recently, we introduced the 50-state *History Rocks!* Trail to Independence Tour and the Presidential 1776 Award, a national high school civics scholarship competition. These efforts will continue into FY 2026.

Responsible stewardship of taxpayer dollars remains an integral part of the Department's mission. I am confident that the financial information presented in this Agency Financial Report is complete and reliable, in accordance with federal law. This report also details the Department's financial management systems, internal controls, and any identified challenges related to controls and compliance. In addition, the Department's

combined Annual Performance Report and Annual Performance Plan offers insights into the agency's overall performance as a federal entity. Released annually alongside the Department's budget request, this document connects performance objectives to allocated resources, supporting the achievement of targeted outcomes.

This year, the Department received an unmodified or "clean" opinion on its FY 2025 Balance Sheet. The preceding year (FY 2024), the Department received a disclaimer of opinion on this statement. Additionally, the prior year's auditors' internal control report identified one material weakness, "Controls over the Relevance and Reliability of Underlying Data Used in Credit Reform Estimates Need Improvement" for which the Department has developed corrective action plans that have been implemented over the past year. Nonetheless, this material weakness is included again, revised to read "Controls over the Reliability of Underlying Data Used in Credit Reform Estimates Needs Improvement", in this year's audit report. The Department remains committed to evaluating its internal controls for improvement opportunities. The Department will develop and implement additional corrective action strategies to address the issues highlighted in the FY 2025 audit report.

Finally, I'm grateful to Department staff for their hard work and steadfast dedication, allowing us to pursue our mission to return education to the states, unleash a new era of educational excellence, and ensure America's students have the means to pursue any educational path they desire. Together, this staff has made significant and unprecedented achievements and turned a vision of a sea change in education into a reality. The implementation of our strategic plan and vision will continue beyond these next three years, leaving long lasting, positive impacts on not only the students today, but the future generations of our great nation.



Linda E. McMahon
U.S. Secretary of Education
January 22, 2026